ELOX: summary

Eloxx Pharmaceuticals, Nasdaq: ELOX. Compiled 2026-10-13 from public SEC filings, XBRL, ClinicalTrials.gov and daily prices. This document presents facts; it is not a buy or sell recommendation.

What matters most

1. **It fails your own screen.** ELOX did a **1-for-11 reverse split on 2026-05-29**. The screener first passed it because the price feed's history only starts at the June 2026 Nasdaq listing. That is now fixed, and ELOX drops out of the screen.
2. **The real market cap is about $159M, not $55M.** There are 4.04M common shares plus **7.38M pre-funded warrants**, which the company itself counts as shares. Minus $62M cash, the **enterprise value is about $97M**.
3. **Large resale overhang.** Since 2026-09-18, **4.97M shares** are registered for resale by the two investors who rescued the company. That is about 6 months of current trading volume. They paid **$5.39** a share; the stock is at **$13.89**.
4. **The trial's main measure isn't accepted for approval.** EXACT (24 patients, topline guided mid-2027) is judged on a **kidney-biopsy measure** (filtration slit density). The company's own filing says it **"has not been validated as a surrogate endpoint."** The FDA also refused repeat biopsies in US children.
5. **The earlier data is thin.** The only prior Alport data is from **3 open-label patients**. The biopsy measure improved in all 3, but **protein in the urine rose in 2 of the 3**. Earlier cystic fibrosis trials never posted results.
6. **Recent history.** ELOX was suspended from Nasdaq in October 2023 and filed **no reports for about 2.5 years**. It came back through debt swaps at $0.49 a share, then relisted in June 2026.
7. **The balance sheet is now clean.** It has **$62M cash and no debt**. The going-concern warning is gone from the latest 10-Q, and the company says its cash lasts **into mid-2028**. A material weakness in internal controls is still open, and the filings contradict each other in several places (section 6 of the pack).

Specialist biotech funds own about 60% of the company. No insider has bought or sold on the open market; every insider filing is a grant or an option exercise.

Your next step: use the journal, with zero capital, as planned. Fill in your own probability and the "what would prove me wrong" line in section 9. Use only published sources, never anything from your placement.

ELOX (Eloxx Pharmaceuticals) decision pack

Compiled 2026-10-13 from SEC EDGAR filings (2025-01 to 2026-09), XBRL, ClinicalTrials.gov and daily prices. Every figure is from a filing or is arithmetic on filed numbers (marked *computed*). Detailed, cited notes:

- `notes_10K_history.md`: FY2025 10-K, 2023-2025 history, the dark period
- `notes_2026_filings.md`: 2026 10-Qs, 8-Ks, the 14C information statement
- `notes_offerings.md`: June 2026 offering, September resale S-1, capitalization
- `ELOX-NCT07523581.md`: the protocol dossier for the EXACT trial
- `filings/`: every filing since 2025, with an index in `filings/manifest.json`

This pack presents facts. It is not a recommendation.

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1. Snapshot (2026-10-12)

Item	Value	Source
Price	**$13.89** (52-week $8.20 to $23.40; June offering $11.00)	Yahoo daily
Common shares	4,036,459	Q2 10-Q cover (8/7/26)
Pre-funded warrants ($0.01 to $0.11 exercise)	7,383,919	Q2 10-Q / Sept S-1, *computed*
Common + pre-funded (company counts both in EPS)	**11,420,378**	*computed*
Fully diluted (+ options, warrants, RSUs)	12,521,254	*computed*
Market cap: common only / + pre-funded / fully diluted	$56M / **$159M** / $174M	*computed*
Cash (6/30/26), all money-market	**$61.96M**	Q2 10-Q
Debt	**$0** (last $1.0M lender loan swapped for warrants 2/26/26)	Q2 10-Q
Cystic Fibrosis Foundation advances (liability, repayable under conditions)	$11.83M	Q2 10-Q
Enterprise value (mcap incl. pre-funded − cash)	**$97M** ($109M counting the CFF advances as debt)	*computed*
Operating cash burn	Q1 2026 −$5.45M, Q2 −$4.79M	XBRL
Company runway statement	"sufficient to reach **mid-2028**"	Sept S-1
30-day average dollar volume	$436k (Oct to date: $368k)	Yahoo, *computed*

Screener caveat. biocat showed a market cap of $55M because it counts only common shares, which leaves out ~7.4M pre-funded warrants. The company itself treats those warrants as outstanding shares. The true figure is about 3x higher.

2. What happened, 2023 to 2026

Date	Event	Source
2023-10-16	Nasdaq suspends ELOX (market value of listed securities below $35M)	10-K
Nov 2023 to Mar 2026	**No periodic reports filed.** The company cites no money for auditors. NT 10-K and NT 10-Q notices in 2025	10-K, NT filings
2025-02-21	SEC declares registration statement 333-276686 abandoned (no response to its notice)	SEC staff action
2024 to 2026	Lender Domicilium converts **$9.5M** of debt into pre-funded warrants at $0.49. Coastlands puts in **$15.0M** and Domicilium $2.0M at $0.49	10-K
Oct 2024	Options repriced to **$0.0001**	10-K
2026-03-17	One 10-K covering FY2023, 2024 and 2025. Going-concern doubt from both auditor and management	10-K
2026-04-28	Holders of **57.1%** approve the split and charter changes by written consent, so there was no shareholder meeting	DEF 14C
2026-05-29	**1-for-11 reverse split**; authorized shares cut from 500M to 100M	8-K 6/1/26
2026-06-08	Nasdaq listing; offering of 2.975M shares at $11.00 plus 3.025M pre-funded warrants at $10.99, **$58.3M net** (Leerink, Guggenheim)	424B4
2026-08-11	Q2 10-Q drops the going-concern language	10-Q
2026-09-18	**Resale S-1 effective: 4,973,204 shares registered for Domicilium and Coastlands**	S-1, EFFECT

The pre-split OTC price was $0.084 on 2026-04-17, about $0.92 adjusted for the split (*computed*).

3. The catalyst

- **Drug:** exaluren (formerly ELX-02), a ribosomal read-through agent for **nonsense-mutation** genetic disease. Main patent expires 2031 (10-K).
- **Trial:** EXACT, NCT07523581. Phase 2b, **24 patients**, randomized, quadruple-masked, placebo-controlled, sequential design, 11 sites in the US and UK. Started 2026-06-30. Primary completion 2027-06-30 (estimated); **topline mid-2027**, final readout by end of 2027 (S-1).
- **Primary endpoint:** change in **filtration slit density (FSD) on kidney biopsy** at week 16 and week 32. Two primary endpoints, with no multiplicity terms in the registration.
- **Regulatory status of that endpoint, in the company's words:** "FSD has not been validated as a surrogate endpoint for clinical benefit in AS, and regulatory authorities have not determined that changes in FSD are sufficient to support approval." The FDA **did not support** repeat biopsies in US pediatric patients (10-K Item 1A). An FDA working group (ASSENT) is reviewing new Alport surrogate endpoints (10-K).
- **Start date slipped:** from the first half of 2026 to Q3 2026 (10-Q).
- **Prior human data in Alport syndrome:** NCT05448755, open-label, **3 patients**, 60 days, results posted on CT.gov.

Patient	Proteinuria (UPCR) baseline → end, mg/g	Collagen IV α3/α4 change	FSD change (μm^{-1})
1	1,299.5 → **2,465.7**	+38.5%	+0.496
2	1,646.3 → **1,028.1**	+8.3%	+0.207
3	1,645.3 → **2,634.7**	+170.8%	+0.931

In that pilot, the biopsy measures rose in all 3 patients, while proteinuria rose in 2 of the 3. There were no serious adverse events; reported side effects included headache (2), injection-site erythema (2) and

oropharyngeal pain (2).

- **Other programs:**
  - Cystic fibrosis (G542X): two Phase 2 trials completed in 2022, **no results posted** on CT.gov.
  - Cystinosis: Phase 2 terminated after 3 patients ("study design limitations").
  - nmADPKD: Phase 2 planned for 2027, topline mid-2028.
  - ZKN-013: Phase 1 with Almirall (terminable on 90 days' notice).

4. Supply and dilution

- **Resale overhang: 4,973,204 shares** registered for resale since 9/18/26.
  - That is 123% of common shares, 44% of common plus pre-funded warrants, and about **181 days** of current volume (*computed*).
  - The holders paid **$5.39** per share, 2.6x below today's price.
  - Only ownership caps limit selling: Domicilium 19.99%, Coastlands 9.99%.
  - A clause in the amended warrants lets holders swap exercised shares back into warrants after 15 days (S-1).
- **The 90-day offering lock-up expired about 2026-09-06** (*computed*).
- **Equity plan:** 685,613 shares available, plus a 5% annual top-up extended to 2036 (S-1, 14C).
- **No S-3 shelf yet.** The company cannot use Form S-3 until it has a year of timely filings (S-1). New money therefore needs an S-1 or a private placement. Note: biocat's `dilution_risk=True` flag counts filings that merely mention a shelf or ATM; it does not mean an effective shelf exists.
- **Use of proceeds:** $13.2M for the Alport Phase 2b through topline; $19.2M for the nmADPKD Phase 2 (424B4).

5. Who owns it (latest 13G filings)

Holder	%	Filed
Domicilium (lender turned investor)	19.99%	6/17/26
Coastlands	9.99%	6/17/26
EcoR1	9.9%	6/16/26
Stonepine	9.9%	6/16/26
Aberdeen	9.91%	7/27/26
Nantahala	9.91%	8/14/26
Invus	8.8%	6/15/26
Samsara	5.0%	8/14/26
CEO Sumit Aggarwal	~5.3% after the offering (24.1% at the 14C record date)	S-1

Insider transactions: no open-market buys or sells by insiders since 2025. Every Form 4 is a grant or exercise. Directors were granted options at $11.00 on 6/8/26; the CEO got 328,833 options at **$1.65** on 6/10/26, granted Sept 2025 with performance-based vesting.

6. Company-specific red flags (from the filings)

- Material weakness in internal controls not remediated; the CFO is an interim consultant (10-K, 10-Q).

- The cover-page box for timely filing of all required reports is checked **"No"** (10-Q).
- **Inconsistencies across documents:**
  - The press release gives Q2 loss per share as $(0.39); its own table and the 10-Q give $(0.66).
  - The press release claims EU orphan status for Alport syndrome; the 10-Q says the EU designation is for ADPKD.
  - Pre-funded warrant totals differ by 2,040,816 shares between sections of the 10-K.
  - The 10-K claims covenant compliance, while a May 2025 exhibit acknowledges loan defaults.
  - The 14C, filed a day after the offering S-1, says there is "no plan" to issue stock.
- **Missed CFF milestone:** a CFF royalty reduction required $15M raised by 2025-12-15. That was missed, and the deadline was moved retroactively in Feb 2026 (10-K exhibits).

7. Against your own screen rules (CLAUDE.md, track 2)

Rule	ELOX	Result
Market cap $50M to $400M	$159M (with pre-funded warrants)	pass
Cash runway > quarters to catalyst + 2	~12 quarters at the current burn vs 4.9 needed; company says mid-2028	pass (burn will rise with two trials funded)
Catalyst 3 to 12 months out	topline mid-2027, about 8.6 months	pass
No reverse split in 24 months	**1-for-11 on 2026-05-29**	**FAIL**
Average dollar volume > $300k	$436k over 30 days, $368k in October	pass, falling

The screener originally passed ELOX by mistake because the price feed's history starts at the June listing. That has been fixed; ELOX now drops out of the screen.

8. Questions to answer before deciding (where your clinical training matters)

1. Is a biopsy FSD change at 16 and 32 weeks something that could ever support approval, or does approval need proteinuria or an eGFR slope? Check FDA Alport guidance and the ASSENT working group's output.
2. What share of Alport patients carry nonsense mutations? That sets the addressable market, which you need for the implied-probability formula below.
3. Would a positive FSD result coexist with rising proteinuria, as in 2 of the 3 pilot patients? Would the market care?
4. Read-through drugs (ataluren is the main precedent) have a regulatory track record. What does it say about this class?
5. With 24 patients and two co-primary endpoints, what effect size counts as a "win"? The registration states no statistical plan.

9. Thesis template (facts pre-filled; judgment fields left for you)

```
TICKER:               ELOX
CATALYST + DATE:      EXACT (NCT07523581) Phase 2b topline, guided mid-2027
CLAIM:                ___ (one falsifiable sentence)
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WHAT THE MARKET BELIEVES:  EV ~$97M on a single-asset Phase 2b
WHY I DISAGREE:            ___
WHAT WOULD PROVE ME WRONG: ___ (write before the event)
MY PROBABILITY:            ___%
MARKET-IMPLIED:            EV / (peak sales x 2-4) = $97M / (___ x 3) = ___%
POSITION / SIZE:           none, watching   (journal first: zero capital, six months)
```

Legal boundary: use only published sources like these. Nothing from your placement.

10. Sources

Filed	Form	Document	Local copy
2026-09-11	S-1	d152186ds1.htm	`filings/2026-09-11_S-1_000119312526389422/`
2026-08-11	8-K	d167833d8k.htm	`filings/2026-08-11_8-K_000119312526345032/`
2026-08-11	10-Q	elox-20260630.htm	`filings/2026-08-11_10-Q_000119312526344964/`
2026-06-09	424B4	d35071d424b4.htm	`filings/2026-06-09_424B4_000119312526263914/`
2026-06-04	S-1/A	d35071ds1a.htm	`filings/2026-06-04_S-1-A_000119312526257750/`
2026-06-01	8-A12B	d75472d8a12b.htm	`filings/2026-06-01_8-A12B_000119312526251780/`
2026-06-01	S-1/A	d35071ds1a.htm	`filings/2026-06-01_S-1-A_000119312526251655/`
2026-06-01	8-K	d261568d8k.htm	`filings/2026-06-01_8-K_000119312526249692/`
2026-05-08	DEF 14C	d125964ddef14c.htm	`filings/2026-05-08_DEF_14C_000119312526214720/`
2026-05-07	S-1	d35071ds1.htm	`filings/2026-05-07_S-1_000119312526212324/`
2026-05-05	10-Q	elox-20260331.htm	`filings/2026-05-05_10-Q_000119312526204722/`
2026-05-01	8-K	d151139d8k.htm	`filings/2026-05-01_8-K_000119312526201408/`
2026-04-28	PRE 14C	d125964dpre14c.htm	`filings/2026-04-28_PRE_14C_000119312526187787/`
2026-03-20	DRS	filename1.htm	`filings/2026-03-20_DRS_000119312526116406/`
2026-03-17	10-K	elox-20251231.htm	`filings/2026-03-17_10-K_000119312526108687/`
2025-08-14	NT 10-Q	tm2523390d1_nt10q.htm	`filings/2025-08-14_NT_10-Q_000110465925078543/`
2025-08-12	8-K	tm2523236d1_8k.htm	`filings/2025-08-12_8-K_000110465925076933/`
2025-05-15	NT 10-Q	tm2515283d1_nt10q.htm	`filings/2025-05-15_NT_10-Q_000110465925049378/`

Filed	Form	Document	Local copy
2025-04-01	NT 10-K	tm2511064d1_nt10k.htm	`filings/2025-04-01_NT_10-K_000110465925030543/`
2025-02-21	SEC STAFF ACTION	filename1.pdf	`filings/2025-02-21_SEC_STAFF_ACTION_999999999725000521/`

Also: XBRL companyfacts `data.sec.gov/api/xbrl/companyfacts/CIK0001035354.json`; trials `ctgov_NCT07523581.json` and `ctgov_NCT05448755.json`; prices `price_daily.csv`; Forms 3 and 4 and 13Gs in `filings/` (parsed in section 5).